

GRANDHI SUBBA RAO

75, RETAILER

FOUNDER, CRANE GROUP

TURNOVER IN 1959 Rs 3,000

CURRENT TURNOVER Rs 110 crore



success MANTRA

Product awareness, quality, prompt service and dedication are vital

humble BEGINNING

Rao started business with a Rs 100 note that his father gave

on his GROWTH

It pays to be patient like a crane that waits for hours and strikes at the right time

THE NUTCRACKER

It's a supari killing with a difference. It has propelled Grandhi Subba Rao, a Class VII dropout, to unimagined prosperity. Starting out in 1952 by selling supari—arecanut powder seasoned with spices, oil and aromatic flavours—on a bicycle in villages around Guntur, Andhra Pradesh, Rao has morphed his minuscule

venture into a flourishing Rs 110-crore company. His business interests now include a dairy and an information technology company in Hyderabad that offers hospital management solutions.

His Crane brand of supari enjoys a commanding share of the market in Andhra Pradesh, in contiguous Tamil Nadu and Karnataka. "Patience, like the crane that waits hours for its catch but does not let go of any opportunity coming its way, has helped me through life," says Rao. So have his uncanny entrepreneurial instincts.

Even as the price of a supari pouch rose from 2 paise to Re 1, a whopping fifty times in the past 50 years, and he reaped huge profits, Rao realised the way forward was to expand by making innovations in the supari mix. He roped in his four son-in-laws and put them in charge of distribution, handling finances, networking and managing employee relations. His only son Venkata Satya Lakshmi Kantha Rao, a Class VIII dropout, has been assigned expansion and new business ventures. In 1996, the family acquired a sick dairy company and turned it around to a turnover of Rs 22 crore from Rs 60 lakh in 12 years. But their attempts at manufacturing fruit pulp concentrate and bottling failed. With investments in a software company, however, the family is hopeful of leveraging the gains to expand their core business. Crane supari's exports to the US are a staggering 2,000 kg, up from 260 kg three years ago. He also exports to Malaysia and Singapore. "I started out with a Rs 100 note given by my father. Plus, my belief that quality will pay in the end, has kept me going," says Rao, who tried running his own paan shop, earlier in life. Today, the Crane Group employs nearly 2,000 people and he pays about Rs 7 crore as income tax every year.

"I spend crores of rupees on building temples and devotional activities because we have to always thank God for what he has done for us," he says. Along with deities, he also worships Chunduri Subba Rao, a grocer in Guntur who gave him arecanut bags on credit and introduced him to suppliers. In the heart of big successes, lie the little stories.

by Amarnath K. Menon